

- **Monitor your checking account balance.** You should check your balance at least once a week in order to spot anything that isn't right. For example, I know someone whose account mysteriously showed her balance to be *minus* \$600, even though she knew she had \$400 in the account. If she hadn't kept tabs on her balance, she wouldn't have caught what turned out to be a bank error and would have lost the equivalent of \$1,000. (Save all your debit card and ATM receipts until your transaction shows up online in case you have a dispute with the bank.)
- **Be wary of overdraft protection plans.** For years, banks got a bad rap for charging as much as \$30 for each bounced check, in addition to the \$20 to \$30 you would owe the merchant to whom you wrote the check. These days, most major banks will automatically enroll you in what they call a **courtesy overdraft protection program** in order to shield you from these charges, but don't let the name fool you. Often, this type of "courtesy" protection is more expensive than the charges from which it allegedly protects you. Some courtesy.

Here's how this system works. If you write a check or use your debit card (or at some banks try to withdraw money from an ATM) for an amount greater than what you actually have in your checking account, the bank has the option to cover the shortfall and let the transaction go through. If it does this, you'll be charged a flat fee (generally \$30 to \$40) each time. And here's where it can get really bad: Some banks will increase the fee each additional time you're caught short or for each day your balance remains below zero (\$5 to \$15 per item, or \$5 to \$10 per day). In theory, these fees could end up in the hundreds of dollars.

But there's a way around this that still protects you from the possibility of bouncing a check. When you open a checking account, tell the bank that you don't want courtesy protection, but instead want to link your checking account to your savings account. This is your cheapest option. If you're worried that you don't have enough savings, your next best